Now that I've discussed why saving and investing for retirement should be a top priority, let's get into how to do it.

TYPES OF RETIREMENT INVESTMENT ACCOUNTS

When it comes to investing for retirement, there are different account types you could have, each with their own benefits and drawbacks. They include the following:

> ***401(k)—Employer-sponsored.*** A 401(k) is an employer-sponsored retirement savings account that only an employer is allowed to offer. Contributing to this account type allows employees to save and invest for retirement on a tax-deferred basis. This means you don't pay income tax on your contributions until you start making withdrawals from your account at retirement.
>
> ***403(b), 457(b)—Employer-sponsored.*** Similar to the 401(k), the 403(b) is specific to employees of public schools, certain tax-exempt organizations, and certain ministers while the 457(b) is specific to governmental and certain nongovernmental employers and their employees.

Benefits and Drawbacks of the 401(k), 403(b), and 457(b)

Benefits

- Many employers will match your contributions up to a certain amount. Matching is a program that some employers offer to encourage you to invest in your retirement with them. When you contribute to their employer-sponsored retirement savings plan, they will match that amount, up to a certain limit, for free. Basically, they are giving you free money for investing in their plan.
- Contributions grow tax-deferred, which means you won't have to pay taxes until you start making withdrawals when you retire.